MERIDIAN INTELLIGENCE

Property & Funding Analysis

Subject: Purchase of Tara House, West Village, Ballincollig, funded by sale of the Corbally, Waterfall home
For: Con & Moll McCarthy | **Date:** 20 July 2026 | Confidential
Prepared through: four specialist analyses (property, finance, legal, deal), independently verified claim by claim.

STATUS: DECISION-SUPPORT — three unknowns to resolve, all professional gates named

1. The transaction in one paragraph

The plan is to sell the mortgage-free Corbally bungalow and buy Tara House (asking €700,000) at the same time. The West Cork property is set aside as too slow to fund this. On the numbers below the plan is potentially workable, but its viability turns on three figures not yet known, combined household income, savings, and the true value of Corbally, and on one property-specific risk: Tara's planning and use classification, which affects the price, the tax at closing, and whether parts of it can be let. Nothing here is a commitment. Every hard step needs a broker, solicitor, surveyor and tax adviser.

2. The property and the price

Tara is an 8-bed, 8-bath former B&B, 246 sqm main house plus a 26 sqm partially-finished detached unit, oil heating, BER D1. It is dual-listed as a residential and a commercial/investment property, which matters (see tax and planning below).

- Ballincollig 2026 median house price: **€450,000** (up from €400,000), on ~45 sales (VERIFIED).
- No clean sold comparable exists for an 8-bed former B&B in the area. The nearest scale reference is a 6-bed at Carrigrohane that sold for €1.2m. On a per-square-metre basis (~€2,570) €700k is not extreme; as a single number it is ~55% above the area median.
- **The read:** €700k can only be judged on its own numbers, not on comparables. The bid should be built bottom-up and argued down from asking using the levers below.

3. The funding picture

Costs are lower than first assumed. Stamp duty on €700k is a flat **€7,000** (1% up to €1m, VERIFIED). All-in buy-side costs (legal, survey, valuation, searches) are roughly **€20,000-25,000**, not €30k. Total need is therefore about **€725,000**.

If Corbally sells at	Net proceeds (after ~2.5% costs)	Gap to fund from savings + mortgage
€350,000	~€341,000	~€384,000
€425,000	~€414,000	~€311,000
€500,000	~€488,000	~€238,000

The age constraint is the crux. At around 58, mainstream lenders require the mortgage to end by ~70, giving roughly a **12-year term**. Mover lending rules are 3.5x gross income and up to 90% loanto-value (VERIFIED). On a 12-year term at ~4%, borrowing €250,000 costs about €2,190 a month and needs ~€71,000 of gross income under the 3.5x rule. Only the €500k Corbally scenario brings the gap within plausible mainstream capacity without a large savings top-up. Below that, they need significant savings or a specialist lender (ICS, Finance Ireland, MoCo lend to age 80, but require proven retirement or rental income).

> **The single biggest affordability risk:** a mortgage running into retirement, when income typically falls. This must be stress-tested against their actual retirement income by a broker before they commit. Lenders count projected B&B income cautiously or not at all, so the deal should not be underwritten on income Tara might earn.

4. Doing it at the same time

Ireland has no formal chain system; the two deals are legally separate but a solicitor ties them with a special condition making the sale conditional on the purchase completing, so they are not left homeless. The risk is real if either side slips. Two routes:

- **Synchronised same-day completion** (cheaper, no interest, but tight, schedule early in the week for a buffer).
- **Bridging finance as a backstop** (available in 2026; on 8 April 2026 the Central Bank exempted principal-home bridging from the income limit, VERIFIED). Bank of Ireland's "Trade Down" bridge is ~7%; ICS bridging is dearer at ~11.3-11.7%. Expensive, short-term, a fallback not a base plan.

5. The property-specific risks (the real homework)

Planning and use classification, the item that cuts four ways

Whether Tara is treated as residential or commercial affects the stamp duty rate, the tax withholding at closing, whether it can revert to a home without full permission, and whether any unit can be let. Corrected from an earlier draft: the change-of-use exemption allowing a former commercial building to revert to residential without full permission did **not** lapse; it was extended to **31 December 2028**. But it carries a two-year-vacancy test and a 9-unit cap, and a trading B&B may not satisfy the vacancy condition. This is a solicitor-and-council question, not an assumption.

The detached rear unit, highest single risk

A separate self-contained unit needs its own planning permission both to have been built and to be let as a separate dwelling. If unauthorised, it cannot lawfully be let. Even the 7-year enforcement immunity leaves it "unauthorised but immune," which is not the same as clean, lettable title, and use breaches can be enforced at any time. Its status must be established before any value is placed on it.

Tax at closing

If Tara is classified non-residential, the seller must produce a CG50 tax-clearance certificate (threshold €500k, versus €1m residential). If they cannot, the buyer must withhold 15% of the €700k and remit it to Revenue. This is a closing-mechanics point for the couple, to be handled by their solicitor.

BER D1 and running costs

Deep retrofit of a standard detached house to B2 runs a median ~€69,600 before grants of up to ~€25,000 (SEAI data, VERIFIED). An 8-bed former B&B is far larger, so that figure understates the likely cost. Eight bathrooms and oil heating mean high running costs. The BER and the unfinished unit are both legitimate levers to negotiate the €700,000 down.

6. The income angle

Rent-a-room relief gives €14,000 a year tax-free where owner-occupiers let rooms in their own home, but it is all-or-nothing: one euro over and the whole sum is taxable (VERIFIED). A self-contained let (the rear unit) is different, a full tenancy with RTB registration, rented-standards rules and a BER to advertise. B&B income is fully taxable trading income. The income potential is real but should support the plan, not carry it.

7. Recommended sequence

1. Establish the three unknowns: combined income, savings, and a real valuation of Corbally.
2. Get Corbally valued and, ideally, sale-agreed, to buy as a credible non-chain buyer.
3. Mortgage-in-principle from a broker who can speak to age-and-term and any retirement-income lending; price bridging only as a backstop.
4. Solicitor engaged early for the title, the change-of-use position, and above all the rear unit's planning status.
5. Structural survey and a BER assessor's upgrade quote on Tara.
6. Written questions to the agent: reason for sale, time on market, price history, whether the rear unit is included and its status, and any B&B trading figures if income is part of the case.
7. A bottom-up bid, argued down from €700k, made only once their own sale is firm and finance is confirmed in writing.

> **Walk away if:** the funding gap needs bridging beyond a short, costed window given their age; the rear unit has a planning problem rather than just being unfinished; or the survey finds material structural, damp or services issues on a former B&B beyond the BER cost already priced in. Any one of these should stop the deal, not just reprice it.

Verification note

Four specialist analyses (property, finance, legal, deal) ran in parallel; an independent critic on a separate model then re-checked ten load-bearing claims against sources. Verified: stamp duty, the 2026 lending rules, the age caps, the April 2026 bridging exemption, rent-a-room relief, the planning-immunity rule, the CG50 thresholds and the retrofit costs. One material correction was made, the change-of-use exemption was extended to 2028, not lapsed. Several Irish regulator pages block automated access, so a number of figures rest on multiple corroborating secondary sources and are so marked in the working papers. This is decision-support for a family conversation, not financial, mortgage, legal, tax or valuation advice; those require the named professionals before any binding step.

Prepared through the Meridian Intelligence framework for John Webb O'Rourke | 20 July 2026 | Confidential | AI driven, human led, independently verified.